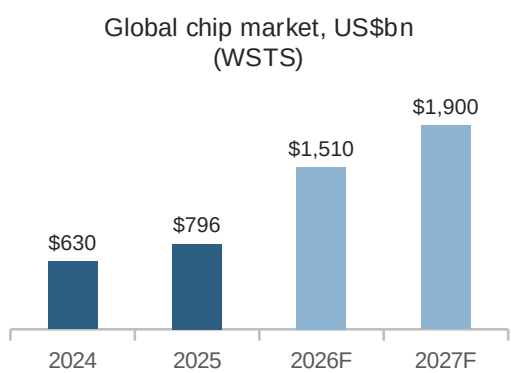


Investment thesis: Monopolizing the AI Supply Chain via Structured Overlays

What we own and why we wrap it: structural demand for Asian chips, memory and tools, held through a market of high rates, record volatility and concentrated, full prices

1 Asia controls AI's hardware bottlenecks



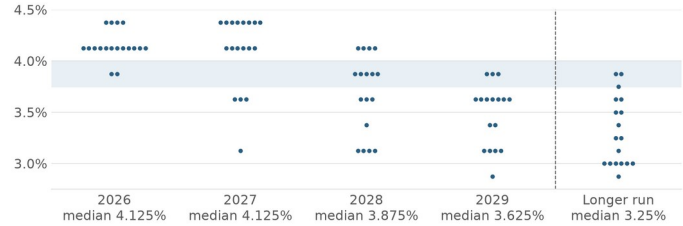
Demand is structural
Hyperscaler capex ~US\$725bn in 2026 (+77%); the chip market nearly doubles to ~US\$1.5trn.

The moat runs through Asia
8 of the world's 10 largest companies depend on TSMC (J.P. Morgan).

...but the cycle is maturing
DRAM price gains slowing: +48% in Q2, ~+13% expected in Q4 2026.

~70%	Taiwan makes the chips: TSMC share of global foundry revenue; TSMC >40% of TAIEX
83%	Korea makes the memory: SK hynix + Samsung share of HBM, the memory every AI accelerator needs
~55%	Japan makes the tools: Advantest share of chip test equipment; with Tokyo Electron ≈ 20% of the Nikkei

2 2026 punishes bonds and buy-and-hold



Rates stay high
Fed median 4.125% to end-2027, cuts only from 2028; 12 dots see 4.375%.

FOMC dot plot, 16 Sep 2026 (shaded: today's 3.75–4.00%)

-4.0%	Long bonds carry rate risk: a 5-year bond loses ~4.0% per 1% rise. → Redeems from year 1; USD 75.8 today buys USD 100 in 5 years, so a 70% floor fits
91.2	Volatility is at records: VKOSPI's all-time high; KOSPI fell ~25% from June to August 2026. → Coupons pay on recovery, no timing needed; rich option premium funds them
~92%	Concentrated and fully priced: of advanced chips come from Taiwan; Nikkei CAPE 38.6x. → Diversified five-ETF basket; capping upside at the coupon costs little

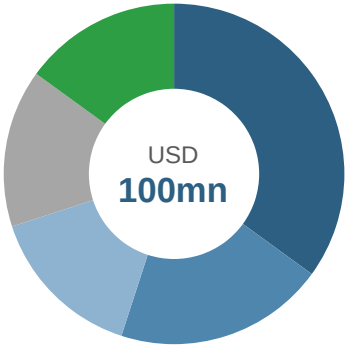
Whichever AI company wins, it needs Asia's chips, memory and tools. In 2026's market, the way to own them is an autocall with a 30% buffer and a 70% floor.

Sources: WSTS; company capex guidance; Counterpoint (foundry, HBM); TrendForce (DRAM); industry research (test equipment); J.P. Morgan AWM 2026 Outlook; Federal Reserve SEP (16 Sep 2026, dots read from chart); Herald / SBS (VKOSPI); FN News, BIT Research (KOSPI); Sibilis (CAPE); case USD funding grid. Full list: deck/thesis_sources.md.

Strategy: our five-ETF basket sits at the low-risk edge of every possible mix

USD 100mn across five Bloomberg-listed ETFs; our weights (red star) deliver ~26% expected return for only ~17% volatility

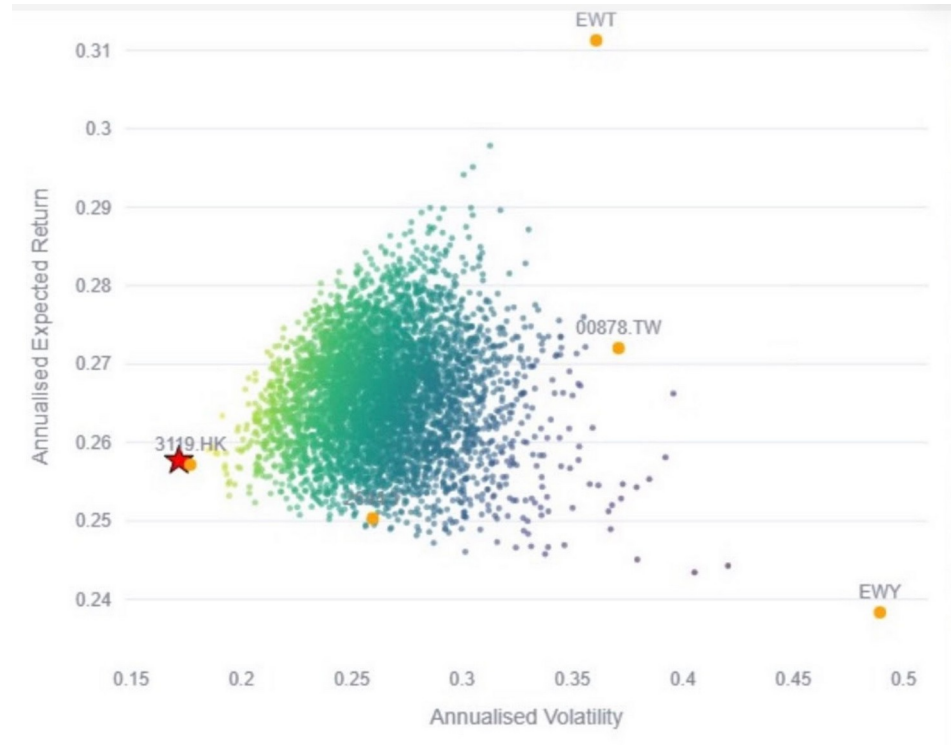
Allocation



Half in the semiconductor core
3119 HK + 2644 JP = 50%; Korea adds memory, Taiwan the foundry, 00878 the ESG income.

■	3119 HK	Pan-Asian chip leaders	35%
■	EWY US	Korea: memory for AI	20%
■	EWT US	Taiwan: the AI foundry	15%
■	2644 JP	Japan: chip-making tools	15%
■	00878 TT	ESG dividend anchor	15%

Risk vs return: single ETFs and random mixes



How to read it

Orange dots: each ETF on its own (2644 is the dot near 0.26, 0.25).
Red star: our basket (35 / 20 / 15 / 15 / 15).
Small dots: thousands of random weightings of the five ETFs; lighter = more return per unit of risk.
Axes: annualised volatility (risk) and expected return.

Takeaways

- Our basket (red star): ~26% return at ~17% volatility, the lowest risk of all the mixes shown.
- Most random mixes need 22–32% volatility for the same 25–28% return: our weights get it with less risk.
- Less risk than any single ETF, about a third of EWY's (~49%), while giving up only a few points versus EWT's ~31%.
- Why: 3119 HK (35%) anchors the basket; the other four move differently enough to pull risk down.

Our basket (red star): ~26% return for ~17% volatility, less risk than any single ETF or random mix

Risk/return chart: team analysis app (annualised from historical data; red star = our basket at 35/20/15/15/15; values read from the chart). Liquidity: 3119 HK is borderline against the USD 5M/day rule, verify on Bloomberg.